WIN TAX ACADEMY / BEGINNER LIBRARY

WIN at Taxes

Your visual companion to the four-module WIN Tax Academy

Follow Deja Marsh from her first W-2 through her full practice return. Learn one skill at a time, try it yourself, and check your work.

LOOK → ENTER → COMPARE
Look at the document. Enter what it says. Compare your entry with the original. If something does not match, stop and check. Never guess.

2026 TAX-YEAR PRACTICE EDITION

Fictional people and sample forms. No real tax return is filed.

The 2025 W-2 example is a separate practice year. The 2026 example includes Deja’s newborn daughter Mia and her cake business.

START HERE

Your course and eBook together

Deja is the main character in every module. Use this book beside the lessons—not instead of the practice software.

Course module	Pages in this book
1. Tax basics and W-2 income	3–5, 13
2. Claiming a dependent	6–7
3. Your 1099 income	8–11, 14
4. Put it all together	12, 15–18
Resources and glossary	19

How to use each page

- Read the short explanation.
- Look at Deja’s sample form or record.
- Try the activity in the course software.
- Compare your entry with the document and check your answer.

Your tax software does the complicated tax math. Your job is to enter supported information and review the result.

MODULE 1 / GET READY

Gather first. File second.

Before Deja opens tax software, she gathers the records she needs.

Personal details	Documents and records
Legal name, ID number, address	W-2 from each job
Household and dependent information	1099 forms, when applicable
Bank details, if using direct deposit	Business income and expense records
Dates and facts that support answers	Prior return and other relevant records

Deja’s simple filing habit

- Look: Read the form name, year, and box labels.
- Enter: Put the number in the matching software field.
- Compare: Check the entry against the form.
- Review: Read the complete return before filing.

In this academy, every return is practice only. Nothing is sent to the IRS.

MODULE 1 / W-2

Meet Deja: her first W-2

In the first practice year, Deja works a regular job. Her 2025 W-2 shows her pay and the federal income tax already taken out.

SAMPLE W-2 • 2025	DEJA MARSH
Box 1 • Wages, tips, other compensation	$68,200.00
Box 2 • Federal income tax withheld	$5,100.00
Employer	Fictional practice employer

What should Deja enter?

- Wages section: Box 1, $68,200.
- Federal income tax withheld: Box 2, $5,100.
- Do not confuse federal withholding with Social Security or Medicare taxes.

YOUR TURN: The practice screen says $5,010 for Box 2. Her W-2 says $5,100. Which amount is correct? Check the source document before continuing.

MODULE 1 / FORMS

Read the name on the form

Tax forms have names printed on them. You do not need to memorize every form by sight.

FORM	WHAT IT TELLS YOU
W-2	Pay from an employee job and tax withheld
1099-NEC	Certain payments for work outside a regular employee job
1099-INT	Interest paid by a bank or other payer
1099-DIV	Investment dividends
1099-K	Some payments processed by payment networks
1099-R	Certain retirement distributions

Cash counts too

If Deja earns money decorating cakes, she generally reports that business income whether a customer pays by cash, Cash App, or bank transfer. A personal gift or repayment is not automatically business income.

A deduction may reduce income used to figure tax. A credit may reduce tax owed. The software helps check eligibility. Do not add the same payment twice if it appears in more than one record.

MODULE 2 / FILING STATUS

Deja’s household changes

In 2026, Deja has a newborn daughter named Mia. Deja is unmarried, pays more than half the cost of keeping up her home, and Mia lives with her from birth.

The software asks questions about the household before selecting a filing status.

QUESTION	DEJA’S PRACTICE ANSWER
Married at year-end?	No
Paid more than half of home costs?	Yes
Qualifying child?	Mia, subject to all eligibility rules
Practice filing status	Head of Household

Having a child does not automatically make someone Head of Household. Household costs, the qualifying person, and other rules matter. Never choose a filing status just to get a larger refund.

MODULE 2 / DEPENDENTS

Meet Mia: check the facts

Mia is Deja’s newborn daughter. A baby born during the year can meet the living-with-you rule when the baby lived with the parent for the required part of the time the baby was alive.

CHECK	SIMPLE QUESTION
Relationship	Is Mia Deja’s child?
Age	Does Mia meet the age rule?
Residency	Has Mia lived with Deja since birth?
Support	Did Mia provide more than half of her own support?

Credits are separate questions

A qualifying child may help with a tax credit, but the credit is not automatic. For 2026, the Child Tax Credit may be up to $2,200 for an eligible child. The software checks the other rules.

YOUR TURN: Mia was born in January 2026 and lived with Deja since birth. Should Deja answer “no” to the residency question just because Mia was not alive before January? No.

MODULE 3 / 1099 INCOME

Deja starts decorating cakes

In 2026, Deja earns extra money decorating cakes. A company pays her $4,200 and gives her a 1099-NEC.

SAMPLE 1099-NEC • 2026	DEJA MARSH
Box 1 • Nonemployee compensation	$4,200.00
Other cake payments not included in this example	$0.00
Total business receipts in this example	$4,200.00

Three things to remember

- Check the form against your own payment records.
- Report other business payments that were not already counted, even if no 1099 arrived.
- Keep business expenses separate from personal spending.

If a payment appears on a 1099 and in a payment-app record, do not count it twice.

MODULE 3 / EXPENSES

What did the cake business cost?

A business expense is a cost for running the business that meets tax rules. Deja keeps records to support what she enters.

ITEM	BUSINESS OR PERSONAL?
Cake ingredients for customer orders	Generally business supplies
Packaging for customer cakes	Generally business supplies
Business trips with a mileage log	May qualify for mileage deduction
Family groceries	Personal, not a cake-business expense
Mixed-use phone bill	Only an eligible, supported business part

The simple profit idea

Money earned − eligible business costs = net profit.
Keep receipts, invoices, bank records, and mileage logs. Do not guess at business expenses.

MODULE 3 / MILEAGE

Deja’s 2026 mileage practice

Deja uses her own car for qualifying cake-business trips and keeps a mileage log. The 2026 IRS business mileage rate changed July 1.

WHEN	MILES	RATE	DEDUCTION
Jan–Jun	200	72.5¢	$145.00
Jul–Dec	110	76¢	$83.60
TOTAL	310	Two rates	$228.60

Your turn: one useful calculation

For the second half of 2026, multiply 110 miles × $0.76. Your answer should be $83.60.

DEJA’S CAKE BUSINESS	AMOUNT
Income	$4,200.00
Supplies	− $600.00
Qualifying business mileage	− $228.60
Net profit	$3,371.40

Only qualifying business trips count—not personal errands or ordinary commuting. Do not deduct gasoline and repairs again for the same miles when using the standard mileage method.

MODULE 3 / SCHEDULE C

Where does the business profit go?

Deja enters the cake-business information in the business section of the practice software. Many small businesses report income and expenses on Schedule C.

STEP	WHAT THE SOFTWARE USES
1. Business income	$4,200 from cake orders
2. Business expenses	$600 supplies + $228.60 mileage
3. Net profit	$3,371.40
4. Tax return	Business profit flows through the proper schedules
5. Review	Software checks other taxes and adjustments

What is self-employment tax?

It generally helps pay for Social Security and Medicare. It can apply to business earnings in addition to income tax. You do not need to memorize the formula.

W-2 Box 2 is federal income tax already withheld. It is not the same as self-employment tax.

MODULE 4 / SIMPLE REFERENCE

What matters most in 2026?

These are reference numbers—not a memory test. Tax software applies the rules for the year you are filing.

2026 ITEM	REFERENCE
Single standard deduction	$16,100
Head of Household standard deduction	$24,150
Child Tax Credit	Up to $2,200 if eligible
Business mileage, Jan–Jun	72.5¢ per qualifying mile
Business mileage, Jul–Dec	76¢ per qualifying mile

Why no tax-bracket worksheet?

Because Deja is learning how to read her documents, enter the right facts, and check her return. The software calculates tax using the proper rules.

Tax rules and amounts can change each year. The 2026 numbers belong to a 2026 return, usually filed in 2027.

MODULE 1 / PRACTICE SCREEN

Practice entering Deja’s W-2

This page matches Deja’s first-year W-2 activity in Module 1. It is a sample entry screen, not real filing software.

WIN PRACTICE / W-2 ENTRY	VALUE
Tax year	2025
Employee	Deja Marsh
Box 1 • Wages	$68,200.00
Box 2 • Federal income tax withheld	$5,100.00

Look → Enter → Compare

- Look at the number and label on the W-2.
- Enter it in the matching software field.
- Compare your entry to the W-2 before clicking Check.

YOUR TURN: The practice software shows $68,020 in Box 1. Deja’s W-2 says $68,200. Which number should remain? $68,200.

MODULE 3 / PRACTICE SCREEN

Practice entering Deja’s business

This page matches Module 3. The software may ask for miles or the calculated deduction. Follow its prompts and do not enter a deduction twice.

WIN PRACTICE / BUSINESS SECTION	ENTRY
Business type	Cake decorating
1099-NEC / business receipts	$4,200.00
Business supplies	$600.00
Qualifying business miles, Jan–Jun	200
Qualifying business miles, Jul–Dec	110
Mileage deduction	$228.60
Net profit	$3,371.40

Check: Does the income match the 1099 and payment records? Do supplies match the records? Does the mileage log support 310 qualifying miles?

Deja’s 2026 return: one year, one set of figures

Her 2025 W-2 was an earlier practice lesson. Do not enter it in this 2026 return.

2026 sample W-2 | Deja Marsh

Tax year: 2026 Box 1 • Wages: $71,300.00

Box 2 • Federal income tax withheld: $6,250.00

Copy the W-2 amounts into the matching software fields. Compare before continuing.

2026 cake business | Schedule C practice

Gross business receipts: $4,200.00

Supplies: $600.00

Business mileage: 200 miles × $0.725 = $145.00

Business mileage: 110 miles × $0.76 = $83.60

Total mileage deduction: $228.60

Total business expenses: $828.60

Net business profit: $3,371.40

Review the complete picture

W-2 wages + business profit = $74,671.40 before adjustments.

This is NOT adjusted gross income, taxable income, or the final tax due.

The software must account for applicable self-employment tax, its deduction, filing status, standard deduction, eligible credits, and $6,250 withholding.

LOOK → ENTER → COMPARE

Check the year, Mia’s details, source documents, business records, and final result.

MODULE 4 / ACCURACY

Eight mistakes Deja avoids

- Leaving out a W-2, 1099, or earned business income.
- Entering Social Security tax as federal income tax withheld.
- Choosing Head of Household just because there is a child.
- Assuming every child automatically qualifies for every credit.
- Leaving out cash payments received for cake work.
- Treating family groceries as cake-business expenses.
- Counting personal driving as business mileage.
- Filing without comparing the return to the records.

When something does not match

Read the software message. Check the original document. Fix only what you can support. If you are unsure, stop and ask for help.

The academy practice return is never sent to the IRS. When filing a real return, also check bank details, identification numbers, signatures, and the copy you keep.

MODULE 4 / PRACTICE

Your turn: eight quick checks

1. Deja’s 2025 W-2 Box 1 says $68,200. What goes in the wages field?
2. Her 2025 W-2 Box 2 says $5,100. What does that number mean?
3. Deja has newborn Mia. Does that fact alone guarantee Head of Household?
4. Deja earns $4,200 decorating cakes. She receives no 1099. Does she still report the income?
5. Deja drives 110 qualifying business miles in August 2026 at 76¢ per mile. What is the deduction?
6. Deja has $4,200 income, $600 supplies, and $228.60 mileage. What is her net profit?
7. In the full 2026 return, which W-2 wages belong to Deja: $68,200 or $71,300?
8. The practice software shows an unexpected refund. Should Deja guess, or compare the entries with her documents?

Check your answers on page 18. The goal is to understand the steps—not to memorize tax tables.

MODULE 4 / ANSWER KEY

Check your work

#	ANSWER	WHY
1	$68,200	2025 W-2 Box 1
2	Federal income tax withheld	2025 W-2 Box 2
3	No	Household and other rules must be checked
4	Yes	Work income generally remains reportable
5	$83.60	110 × $0.76
6	$3,371.40	$4,200 − $600 − $228.60
7	$71,300	That is her 2026 W-2; $68,200 was 2025
8	Compare, never guess	Check the records and software questions

You are building a skill

Look at the document. Enter what it actually says. Compare the result. If something does not add up, stop and check.

Return to the academy for the final interactive assessment and course completion.

RESOURCES

Keep learning with the source

Use the IRS instructions for the tax year of the return. These official links are a reference when questions come up.

Standard mileage rates: www.irs.gov/tax-professionals/standard-mileage-rates

2026 inflation adjustments: www.irs.gov/irb/2025-45_IRB

Dependents and filing status: www.irs.gov/publications/p501

Child Tax Credit: www.irs.gov/credits-deductions/individuals/child-tax-credit

Schedule C instructions: www.irs.gov/instructions/i1040sc

Self-employment tax: www.irs.gov/taxtopics/tc554

Mini glossary

W-2: Job wages and withholding. 1099-NEC: Certain payments for nonemployee work. Schedule C: Business income and expenses. Withholding: Tax taken out of pay. Net profit: Business income minus eligible expenses.

This is a fictional practice guide for learning to prepare your own basic return. It is not a real tax return or a promise of any tax result.